NATIONAL INSTITUTE OF TECHNOLOGY RAIPUR

ELITE LEAF



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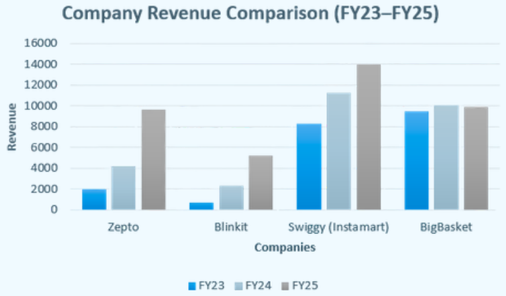


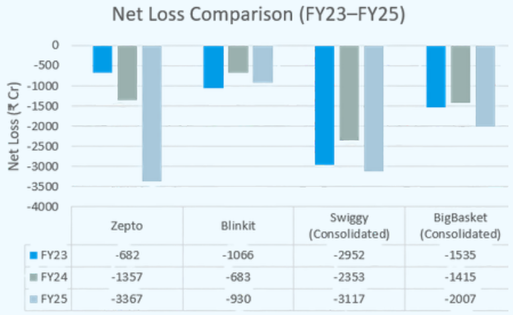
HIMANSHU KUMAR

ZEPTO'S RACE AGAINST TIME: REDEFINING QUICKCOMMERCE SUSTAINABILITY

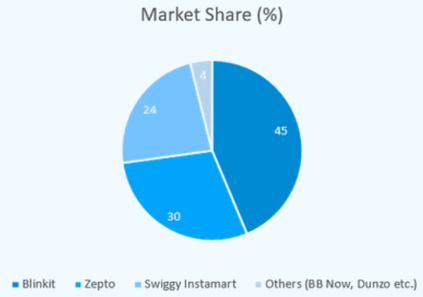
Zepto: Overview & Market Challenges

Zepto was founded in 2021 and became India's fast-growing quick-commerce company by delivering groceries in just 10 minutes. It is founded by two young star entrepreneurs named Aadit Palicha and Kaivalya Vohra. On October 2025, Zepto raised $450 million funds from investors at a $7 billion valuation. Currently, Zepto holds the 22-30% market share.





	Zepto	Blinkit	Swiggy (Consolidated)	BigBasket (Consolidated)
FY23	-682	-1066	-2952	-1535
FY24	-1357	-683	-2353	-1415
FY25	-3367	-930	-3117	-2007



Product Margins

Zepto earns margin by buying products at wholesale price and selling at MRP or slightly higher price. which gives high profit margin

Delivery Fees

Charges may applied on low order value or during the peak hours (busy hour)

Advertising & Listing

Brands Pay Zepto to promote their products and banners on Zepto's App and Website

Private Label Products

Zepto sells its own branded products which removes middlemen ultimately gives high profit margin

Problem with their causes

Heavy Cash Burn

- Weak demand caused sharp drop in cafe orders
- Supply issues created frequent ingredient shortages
- High costs raised overall cash burn heavily

Intense Quick Commerce Competition

- Low order density in new stores
- Rising customer acquisition and marketing costs
- Weak customer retention after subscription exit

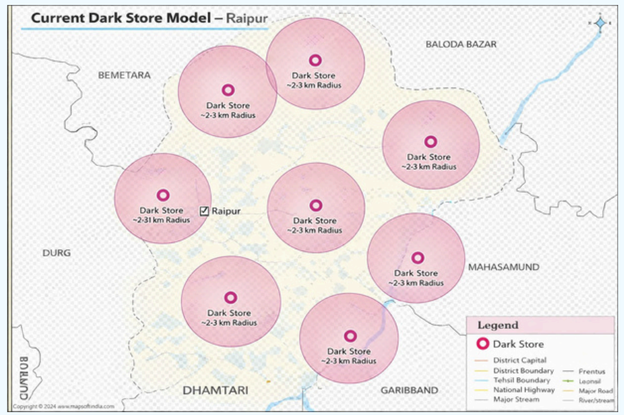
Key Challenges in Tier 2 and 3 Cities

- Low order density reduces store viability
- Poor roads delay last-mile deliveries
- Low average order value initially
- Trust concerns on product freshness

Model Comparison

(As COO Perspective)

Dark Store Model (Current)

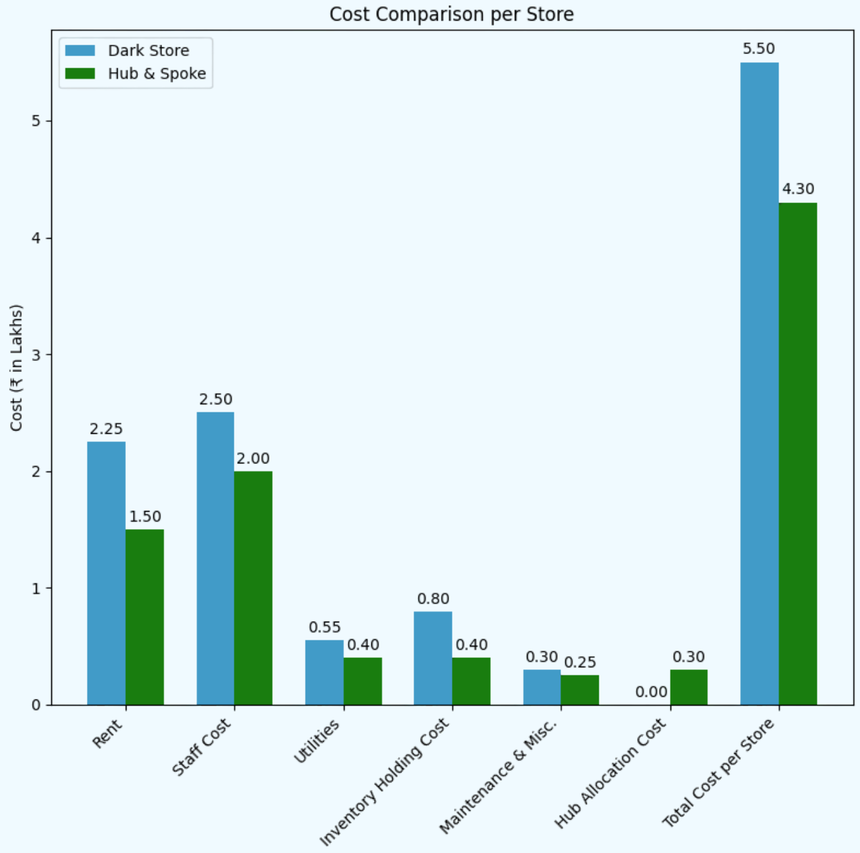


Operations

- 25-30 dark stores across Raipur
- Each store acts as mini-warehouse + delivery node
- Service radius: 2–3 km per store
- High dependence on prime urban locations

Key Problems

- High CapEx: ₹4.5–16 Cr (store-wise setup)
- Inventory Duplication: same SKUs across all stores
- High Rent Burden: premium urban real estate
- Underutilization Risk: low demand areas → ideal inventory
- Limited Scalability: expansion requires full store setup

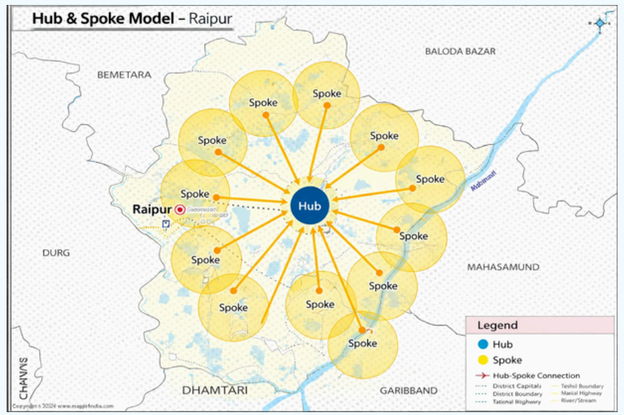


Decentralized Storage ⟶ **Centralized Inventory**

High Fixed Cost ⟶ **Optimized Cost Structure**

Store-based Scaling ⟶ **Network-based Scaling**

Hub and Spoke Model



Operations

- 1 Hub (Outskirts of Raipur) → bulk storage
- ~40 Spokes → last-mile delivery nodes
- Spoke coverage: ~2 km radius
- Hub supports entire network (10–15 km range)

Advantages

- 40–60% Lower Setup Cost (₹3–6 Cr)
- Centralized Inventory → reduced wastage
- Lower Rent Cost → outskirts hub
- Flexible Expansion → add spokes easily
- Better Demand Allocation → dynamic stock movement

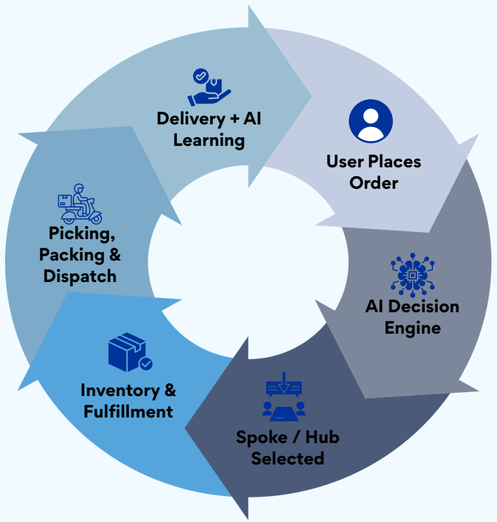
Hub and Spoke Model

Workflow

Dark Store Model

- User Places Order – Customer places order on the app
- Nearest Store Assigned – System assigns closest dark store
- Order Received – Store receives order details
- Pick & Pack – Items are picked and packed quickly
- Rider Assigned – Delivery partner is allocated
- Delivery – Order is delivered to customer





Hub and Spoke Model

- User Places Order – Customer places order on the app
- AI Decision Engine – AI analyzes demand and availability
- Source Selection – Best spoke or hub is selected
- Fulfillment – Order is fulfilled from optimal source
- Pick, Pack & Dispatch – Order is prepared and assigned
- Delivery & Learning – Delivered and AI improves from data

AI Implementation

1. **Predictive Pre-Positioning**
   AI predicts demand and pre-moves inventory closer to customers before orders are placed.
2. **Hyper-Personalized Micro-Warehousing**
   AI customizes inventory at each spoke based on local customer preferences.
3. **Autonomous Replenishment System**
   AI automatically manages stock movement between hub and spokes without manual effort.
4. **Real-Time Demand Surge Redistribution**
   AI redistributes inventory instantly during sudden demand spikes.
5. **AI-Driven Dynamic Pricing & Inventory Sync**
   AI adjusts pricing and inventory in real time to reduce waste and increase profit.

Zepto Nova-Private Labeling

(As CMO Perspective)

Before we get started on private labeling, look at how companies like BigBasket and JioMart are making huge profits from it.

bigbasket

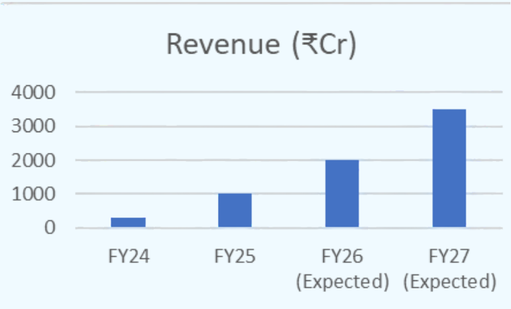
- **Revenue Mix**: Private labels contribute 40% of total sales (~₹4,000 Cr in FY24).
- **Vertical Integration**: Direct sourcing from farmers boosts margins to 35–40%.
- **Customer Retention**: Pricing 30–40% lower than competitors drives a 50%+ repeat rate.
- **Competitive Edge**: This self-reliant ecosystem ensures profitability and a defensive moat against quick-commerce rivals like Zepto and Blinkit.

Jio

- Reliance owns 70+ private labels (Good Life, Snac Tac, etc.)
- Private labels drive ~12% grocery sales and ~7% total revenue
- Uses 18,000+ stores, farms, and backward integration to reduce sourcing cost
- Offers 30–40% lower prices than national brands via dynamic pricing

Zepto Relish – Year-wise Revenue (Estimated)

YEAR	Revenue (₹Cr)
FY24	300
FY25	1,000
FY26 (Expected)	2,000
FY27 (Expected)	3,500



Third Party Brands vs Zepto Own Brands

Factor	Third-Party Brands	Zepto Own Brands	Impact
Margins	12–20%	25–40%	Higher profit
Sourcing	Middlemen (costly, slow)	Direct sourcing	20–30% cost saving
Pricing	Fixed MRP	~20% cheaper	Higher AOV & repeat orders
Control	Limited	Full control	Better quality & trust
Visibility	Normal placement	Priority promotion	Faster sales growth

An Example of Simple Calculation

Particulars	Third-Party Model	Zepto Own Brand Model
Raw Material Cost	₹100	₹100
Processing & Packaging	₹20	₹20
Total Cost	₹120	₹120
Selling Price to Zepto	₹150	–
Final Selling Price	₹170	₹160
Zepto Selling Price	₹170	₹160
Profit Margin	~13%	~33%

Possible Solutions

Roadmap For Private Labeling

In Phase-1
- Direct raw materials packaging after processing
- Use staples (e.g - rice,millets,dal,moong)
- Labelling on dry products /snacks
- chyll/Beverages like juices/cold drinks

In Phase-2
Add marginal inventory:
- Fashion Jewellery
- Sling bags & minipack
- Sunglasses

In Phase-3
If success then we will go through other products

This leads to private products labels success

Expected Time : 6-8 months
(Directly sourcing from Farmers & producers)

8-12 months
(Make collabaration with big factories & new start ups)

Vary with previous phases
(Depend on previous Collabration & Sourcing)

(Work on success & efficiency and again recurresively)

Subscription Reward Model (As CMO Perspective)

Current Model
- Free delivery above ₹99 for all users
- No strong incentive for subscription
- Limited customer retention and differentiation
- High operational cost due to universal benefits

Zepto Pass (Subscription)
- Free delivery above ₹99 only for Pass users
- Non-subscribers pay delivery charges
- Encourages users to shift towards subscription
- Creates recurring and predictable revenue stream

Zepto Coins(Rewards)
- Coins available only for Zepto Pass users
- Applicable on orders above ₹250
- Earn 1 coin per ₹50 spent (1 coin = ₹1)
- Encourages users to increase cart value

Business Impact
- Coins redeemable in cart (up to 5% of order value)
- Can be used to purchase or renew Zepto Pass
- Increases average order value (AOV)
- Drives repeat purchases and long-term customer loyalty

Impacts

Hub and Spoke Model

- Improves faster delivery through better inventory distribution
- Increases order fulfillment efficiency and customer satisfaction
- Improve Operational Efficiency

Private Labeling

- Increases profit margins compared to branded products
- Gives Zepto better control over pricing and supply chain
- Builds brand loyalty through affordable alternatives

Subscription Model

- ₹250 threshold pushes users to spend more → Higher AOV
- Coin rewards encourage add-on purchases → Increased basket size
- 5% redemption cap limits discount leakage → Improved profit margins

Outcomes

Hub and Spoke Model

- **Cuts setup and operating costs**
- **Eliminates inventory duplication**
- **Enables low-cost scalability**
- **Improves delivery efficiency**

Private Labeling

- **Higher overall profitability**
- **Improved unit economics**
- **Increased customer retention & loyalty**
- **Growth in average order value (AOV)**
- **If they sell 25% private labelled tag then overall profit increases upto 5%**

Subscription Model

- **Drives carts above ₹250**
- **Rewards push higher spending**
- **Users add extra items**
- **Controlled redemption (5%) maintains margins while boosting AOV**